

describe what each item on the quote means in a straightforward way. If not, they might not be your best option.

Just as you did when choosing a lender, you can make a list or spreadsheet with information from each company to compare apples to apples. This, however, isn't as big or scary a commitment. If you don't like your insurance policy, you can always switch providers after the first year. You can also make changes to the policy itself, like adding a discount for which you qualify, within the first year.

When you choose your insurance provider, they'll want you to sign a document so they can bind your insurance. You can connect your lender and the insurance agent at this point, and they'll work out the necessary documentation prior to closing on the loan.

DUE DILIGENCE

Performing due diligence means researching information about a property to determine whether you want to continue with the purchase. Basically, you're looking deeper into the property after your offer has been accepted to verify the information given to you by the seller, check the condition of the home, and look further into anything that is important to you.

When you're moving into a property, you'll be spending a lot of time there. There are tangible things to consider, like utility costs, structural integrity, and code compliance. There are also intangible things that might matter to you but not to the seller or another buyer—like neighbors, noise, and so on. You do not want to move in only to discover that the boy next door is a budding rock drummer who practices all day in his attic. (Best of luck, as that might be a very...drum-attic problem. *Ba-dum tss!*)

First off, you'll want to verify the information the seller has shared with you. Read through the Seller's Property Disclosure if you haven't already. Call up the HOA to determine that the amount due is what they're actually charging. Verify that it's due monthly, quarterly, or annually. One thousand dollars a quarter may be palatable; \$1,000 a month may not.

This is also the time to request copies of utility bills and any instruction manuals for appliances and systems. If the age of anything is not noted in